

FIRST SEMESTER DIPLOMA EXAMINATION IN MANAGEMENT

BUSINESS ECONOMICS**MODEL QUESTION PAPER – SET-1**

Time: 3 hours

Maximum Marks: 75

PART A**I. Answer all questions in one word or one sentence. Each question carries one mark.****(9 x 1 = 9 Marks)**

1	The additional utility derived from the consumption of the last unit is termed as	M 1.08	R
2	Define total utility.	M 1.08	R
3	State the law of demand.	M 2.02	R
4	The graphical representation of demand schedule is termed as	M 2.03	R
5	Define production.	M 3.01	R
6	Name the primary factor of production.	M 3.02	R
7	The market situation in which there is only one seller or producer of a product and for which there is no close substitute is known as	M 4.02	U
8	Define Oligopoly.	M 4.02	R
9	Name the person who brings in land, labour & capital in one place & uses it for the production process.	M 3.02	U

PART B**II Answer any eight questions from the following. Each question carries 3 marks****(8 x 3 = 24marks)**

1	Explain the law of diminishing marginal utility with an example.	M 1.09	U
2	Describe any three reasons for downward slope of demand curve.	M 2.04	U
3	Summarize the factors of production.	M 3.02	U
4	Differentiate between perfect and imperfect oligopoly.	M 4.02	U
5	Recall the growth definition of economics.	M 1.02	R

6	Explain the different types of elasticity of demand.	M 2.07	U		
7	Describe the production function.	M 3.01	U		
8	How will you explain legal monopoly?	M 4.04	U		
9	Suppose that there are only two consumers of scented candles in a particular market. The following table shows their annual demand schedules:		M 2.06	A	
	Price per candle	Quantity demanded by Customer 1 (candles)			Quantity demanded by Customer 2 (candles)
	2	16			32
	4	10			24
	6	6			16
	8	2			8
	10	0			4
	Find the market demand schedule.				
10	Compare value and price.	M 1.07	U		

PART C

Answer all questions. Each question carries seven marks

(6 x 7 = 42 Marks)

III	Describe the Assumptions of Law of Diminishing Marginal Utility.	M 1.10	U										
IV	OR Explain the Exceptions to the Law of Diminishing Marginal Utility.	M 1.10	U										
V	Suppose that the supply schedule of Prawns is as follows: <table><tr><th>Price of Prawns (Rs. Per kg)</th><th>Quantity supplied (Kg)</th></tr><tr><td>25</td><td>800</td></tr><tr><td>20</td><td>700</td></tr><tr><td>15</td><td>600</td></tr><tr><td>10</td><td>500</td></tr></table>	Price of Prawns (Rs. Per kg)	Quantity supplied (Kg)	25	800	20	700	15	600	10	500	M2.09	A
Price of Prawns (Rs. Per kg)	Quantity supplied (Kg)												
25	800												
20	700												
15	600												
10	500												

VI	5	400		
	Suppose that Prawns can be sold only in Kerala. The demand schedule for Prawns is as follows:			
	Price of Prawns (Rs. Per kg)	Quantity supplied (Kg)		
	25	200		
	20	400		
	15	600		
	10	800		
	5	1000		
	Draw the demand curve and the supply curve for Prawns. What are the equilibrium price and quantity of prawns?			
	OR			
Describe the factors determining the Elasticity of Demand.		M2.08	U	
VII	Explain the advantages of large-scale production.		M3.05	U
OR				
VIII	How do small scale industries contribute to the socio-economic development of India?		M3.06	A
IX	Summarize the concept of national income.		M4.05	U
OR				
X	Compare various market forms.		M4.03	A
XI	Describe the different types of utility.		M1.08	U
OR				
XII	How will you classify human wants? Explain.		M1.04	U
XIII	Illustrate supply schedule and supply curve with examples.		M2.09	A
OR				
XIV	Discuss about the classification of demand.		M2.02	A

FIRST SEMESTER DIPLOMA EXAMINATION IN MANAGEMENT

BUSINESS ECONOMICS**MODEL QUESTION PAPER – SET-2**

Time: 3 hours

Maximum Marks: 75

PART A**I. Answer all questions in one word or one sentence. Each question carries one mark.****(9 x 1 = 9 Marks)**

1	Two goods are complements if: A) An increase in the price of one reduces demand for the other B) A decrease in the price of one reduces demand for the other C) An increase in the price of one increases demand for the other D) An increase in income lowers demand for both goods	M 1.05	U
2	Tom's income falls by 3%. At the same time, his demand for fine wine falls by 4%. All other things remaining the same, Tom treats fine wine as a(n): A) Inferior good B) Normal good C) Luxury good D) Substitute good	M 2.01	A
3	State whether the following statement is true or false: The law of diminishing marginal utility indicates that gains in satisfaction become smaller as successive units of a specific product are consumed.	M 1.09	U
4	The graphical representation of supply schedule is termed as	M 2.09	R
5	Define Entrepreneurship.	M 3.01	R
6	 is the process by which inputs are transformed into outputs.	M 3.01	R
7	A homogeneous good is a good: A) With many perfect substitutes B) With many perfect complements C) Whose demand has unit elasticity D) With many goods of the same price	M 4.02	U
8	Define Monopolistic Competition.	M 4.02	R
9	A market with just two producers is known as	M 4.03	R

PART B

II Answer any eight questions from the following. Each question carries 3 marks

(8 x 3 = 24marks)

1	Define total utility & marginal utility. What is the relationship between total utility & marginal utility?	M 1.08	U																					
2	Draw and explain the demand curve in the following statement: “I generally buy more sugar as the price falls. But once the price falls to Rs. 35 per kg, I’ll buy out the entire stock of the supermarket”.	M 2.03	A																					
3	List the characteristics of land.	M 3.02	R																					
4	How will you explain scale of production? Describe its types with examples.	M 3.04	U																					
5	Explain the features of Monopoly Market.	M 4.02	U																					
6	Distinguish between GDP and GNP.	M 4.05	U																					
7	Which features of monopolistic competition are monopolistic in nature?	M 4.02	U																					
8	What are the qualities of an entrepreneur?	M 3.02	U																					
9	Why are demand curves for most goods downward sloping?	M 2.06	U																					
10	The following table shows Tony’s total utility from consumption of Spiderman comic books. Calculate the values for marginal utility. <table border="1"><thead><tr><th>Number of Comics</th><th>Total Utility</th><th>Marginal Utility</th></tr></thead><tbody><tr><td>0</td><td>0</td><td></td></tr><tr><td>1</td><td>100</td><td></td></tr><tr><td>2</td><td>190</td><td></td></tr><tr><td>3</td><td>270</td><td></td></tr><tr><td>4</td><td>330</td><td></td></tr><tr><td>5</td><td>380</td><td></td></tr></tbody></table>	Number of Comics	Total Utility	Marginal Utility	0	0		1	100		2	190		3	270		4	330		5	380		M 1.08	A
Number of Comics	Total Utility	Marginal Utility																						
0	0																							
1	100																							
2	190																							
3	270																							
4	330																							
5	380																							

PART C

Answer all questions. Each question carries seven marks

(6x7=42 marks)

III	Elaborate the different definitions of economics along with their features.	M1.02	R
	OR		
IV	Explain the different types of goods.	M1.05	U

V	A survey indicated that chocolate is India’s favorite ice cream flavor. For each of the following, indicate the possible effects on demand, supply, or both as well as equilibrium price and quantity of chocolate ice cream. a. A severe drought in the South -West causes dairy farmers to reduce the number of milk-producing cattle in their herds by a third. These dairy farmers supply cream that is used to manufacture chocolate ice cream. b. A new report by the Indian Medical Association reveals that chocolate does, in fact, have significant health benefits. c. The discovery of cheaper synthetic vanilla flavoring lowers the price of vanilla ice cream. d. New technology for mixing and freezing ice cream lowers manufacturers’ costs of producing chocolate ice cream.	M2.02 M2.09	A																		
VI	OR Describe elasticity of demand & its types.	M2.07	U																		
VII	Explain the factors of production. OR	M3.02	U																		
VIII	Explain the importance of small scale industries in India.	M3.06	A																		
IX	Describe the classification of monopoly. OR	M4.04	U																		
X	What is a perfect competition market? Explain its characteristics.	M4.02	U																		
XI	The following table gives the daily supply and demand for sandwiches at a sporting event: <table><tr><th>Price, Rs.</th><th>Quantity demanded</th><th>Quantity supplied</th></tr><tr><td>20</td><td>800</td><td>7,200</td></tr><tr><td>18</td><td>1,600</td><td>4,800</td></tr><tr><td>16</td><td>2,400</td><td>2,400</td></tr><tr><td>14</td><td>3,200</td><td>800</td></tr><tr><td>12</td><td>4,100</td><td>200</td></tr></table> a. What is the equilibrium price of sandwiches? What makes you think so? b. If the organizers of the sporting event decide to set the price at 18, how many sandwiches will be sold? OR	Price, Rs.	Quantity demanded	Quantity supplied	20	800	7,200	18	1,600	4,800	16	2,400	2,400	14	3,200	800	12	4,100	200	M 2.02 M 2.09	A
Price, Rs.	Quantity demanded	Quantity supplied																			
20	800	7,200																			
18	1,600	4,800																			
16	2,400	2,400																			
14	3,200	800																			
12	4,100	200																			

XII	Demonstrate demand schedule and demand curve with examples.	M2.03	U
XIII	Summarize the advantages of large-scale production.	M3.05	U
	OR		
XIV	Describe the disadvantages of large-scale production.	M3.05	U